Examples of Narratives

1966. Contemporaneous Federal Reserve assessments date the emergence of supply constraints to mid-1966, when the U.S. economy was described as facing "increased production bottlenecks" under conditions of high resource utilization, with these constraints persisting and intensifying through 1968–69.[1]

1971–72. On August 15, 1971, President Richard Nixon announced a nationwide 90-day freeze on wages and prices, marking the first peacetime wage and price control program in U.S. history under the authority of the Economic Stabilization Act of 1970. A Price Commission and Pay Board were established on October 22, 1971, to oversee the subsequent phases of controls.

1973. The mid-1970s oil shock is conventionally dated to October 1973, when Arab oil-producing countries initiated an embargo on oil shipments to nations perceived as supporting Israel during the Yom Kippur War. Major embargo actions took effect around October 16–19, 1973, and the formal embargo was lifted in March 1974, although elevated prices persisted beyond this period.

1983. On March 14, 1983, OPEC agreed to lower its official benchmark crude oil price from approximately $34 to $29 per barrel and to reinstate individual member production quotas, marking a decisive adjustment in OPEC pricing policy in response to sustained market weakness. Contemporary IMF assessments identify 1983 as the point at which excess supply conditions became entrenched, reflecting a combination of weak global demand, increased non-OPEC production, and growing difficulties in enforcing production discipline within OPEC (see *World Economic Outlook*, 1984, Chapter 4, "World Oil Situation").

2014–16. From mid-2014 through early 2016, the global oil market experienced a sustained supply glut: crude oil prices declined sharply from over $100 per barrel in June 2014 to below $30 per barrel by early 2016, reflecting a persistent excess of supply over demand. A notable marker of this regime was November 27, 2014, when OPEC members, led by Saudi Arabia, opted not to cut production despite falling prices, effectively abandoning price-support targets. Throughout 2015 and into early 2016, excess supply conditions were reinforced by rising production from unconventional sources and slowing global demand, contributing to one of the largest oil price collapses in recent history.[2]

[1] William F. Treiber, address at the sixty-third annual convention of the New Jersey Bankers Association, Atlantic City, New Jersey, May 19, 1966, reports that "... declining unemployment, shortages of skilled labor, and increased production bottlenecks, pressures on prices have been mounting. With an already high utilization of resources ... demand ... is pressing on a limited supply."

[2] See, e.g., World Bank, *Global Economic Prospects*, January 2018, "With the Benefit of Hindsight: The Impact of the 2014–16 Oil Price Collapse."